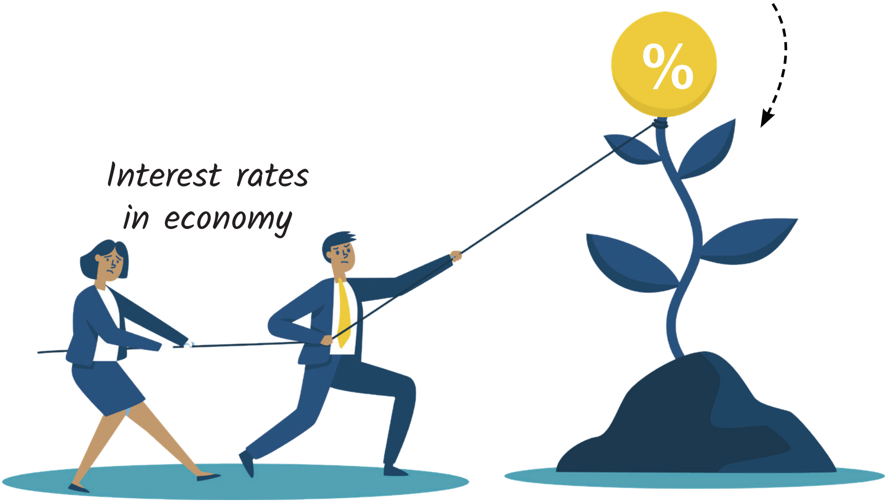
We need to understand the effective cost of capital or effective borrowing cost that the company gets and whether it is competitive. The idea is to understand company ability to attract capital at attractive terms.



We need to find the trajectory of the interest rates in economy and the trajectory of the company's effective borrowing costs.

Credit rating of the firm over the years

Credit reports of firms can easily be found on the screener.in. AAA is best followed by AA and A. Then it continues with B and ends with D. Check for credit rating reports over last few years.